EXECUTIVE SUMMARY

I. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government Units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

II. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2024.

The objective of the audit is to determine whether the resources of LGU – Amulung, Cagayan have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

III. Financial Highlights

The highlights of the financial condition and results of operation of the Municipality of Amulung, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/(Decrease)
Assets	P 820,695,165.21	P 839,104,271.13	P (18,409,105.92)
Liabilities	86,514,295.99	98,721,708.06	(12,207,412.07)
Government Equity	734,180,869.22	740,382,563.07	(6,201,693.85)
Income	258,235,144.32	240,372,275.13	17,862,869.19
Expenses	264,823,443.57	298,106,768.52	(33,283,324.95)
Net Income	(6,588,299.25)	(57,734,493.39)	51,146,194.14

IV. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities (PPAs), are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Ubbog Small Water Impounding Project	P 14,462,526.26
Concreting of Perimeter Fence at PNP and MDOC Boundary	862,643.39
Construction of Retaining Wall at SLF Amulung East (Phase 01)	1,494,919.18
Repair and Improvement of RHU Facilities	316,597.61
Concreting of Casingsingan Sur Farm to Market Road	198,012.41
Construction of Special Waste Vault @ SLF Amulung East	765,228.00
Total	**P 18,099,926.85**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality of Amulung, Cagayan as of December 31, 2024 due to the misstatements aggregating to ₱512,353,806.26 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Amulung, Cagayan disclosed misstatements totaling to ₱512,353,806.26, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality of ₱4,616,797.38, summarized as follows:

Account	Assets	Equity/ Revenue/ Expense	Total
Property, Plant, and Equipment (PPE)	₱506,516,563.53		₱506,516,563.53
Other Maintenance and Operating Expense (MOOE)		2,305,827.00	2,305,827.00
Construction in Progress	1,598,222.56		1,598,222.56
Repairs and Maintenance (R&M)		1,013,743.17	1,013,743.17
Breeding Stocks	919,450.00		919,450.00
Total:	**₱509,034,236.09**	**P3,319,570.17**	**₱512,353,806.26**

As a result, the following accounts in the financial statements of the Municipality of Amulung, Cagayan were misstated as follows:

Account	Understatement	Overstatement	Observation No.
R&M - Infrastructure Assets		₱316,597.61	3
R&M - Buildings and Other Structures		697,145.56	
Hospital and Health Centers	₱316,597.61		
Other Structures	697,145.56		

Account	Understatement	Overstatement	Observation No.
Construction in Progress - Infrastructure Assets		1,598,222.56	4
School Buildings	1,598,222.56		
PPE		506,516,563.53	5, 6
Other MOOE		2,305,827.00	7
Donations	1,761,000.00		
R&M - Transportation Equipment	70,586.00		
R&M - Other PPE	33,750.00		
Traveling Expenses - Local	270,000.00		
Other Supplies and Materials Expenses	26,775.00		
Office Supplies Expenses	143,716.00		
Breeding Stocks		919,450.00	8
Total:	**₱4,917,792.73**	**₱512,353,806.26**	

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Amulung, are as follows:

1. **Out of the 16 PPAs funded out of the 20% Development Fund (DF) for CY 2024, three (3) were on-going implementation and three (3) were not implemented as of December 31, 2024, which is not in compliance with applicable provisions of the DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020, resulting in delayed or non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.**

   We recommended that the Management identify and immediately address the causes of delay and ensure that the development projects to be funded out of the 20% DF are carefully planned and procurement and implementation ready, in order to maximize the utilization of the projects and to ultimately achieve the socio-economic developments and environmental outcomes of the Municipality.

2. **The Municipality did not fully maximize the use of the available appropriations under the Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling ₱29.362 million, with only ₱16.124 million utilized amount or 54.91% utilization as of December 31, 2024, leaving a total unutilized balance of ₱13.238 million, preventing the substantial achievement of its desired goals and objectives of reducing disaster risk and enhancing disaster preparedness and response capabilities.**

   We recommended that the Management, through the Municipal Disaster Risk Reduction and Management Office and other concerned Offices, ensure that the PPAs for each budget year funded out of the 5% LDRRMF are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays

in the implementation of projects to fully achieve the desired goals and objectives in reducing disaster risk and enhancing disaster preparedness and response capabilities of the Municipality.

3. **Deficiencies were noted in the procurement documents submitted for the contract for various infrastructure projects implemented by the Municipality totaling ₱16.149 million contrary to pertinent provisions of the 2016 Revised Implementing Rules and regulations (IRR) of Republic Act (RA) No. 9184.**

   We recommended that the Management advise the Bids and Awards Committee (BAC) to ensure that the actual documents covered by its certification on the posting at conspicuous places are specifically indicated therein and to invite representatives from duly recognized private groups and NGOs, in addition to that from the COA, to sit as observers in the proceedings for the Municipality's various procurement projects in faithful adherence to applicable provisions of the 2016 Revised IRR of RA No. 9184.

4. **Cash advances amounting to ₱0.196 million granted to a Special Disbursing Officer (SDO) as well as to officers and employees remained unliquidated as of December 31, 2024, which is contrary to Section 89 of Presidential Decree (PD) No. 1445 and applicable provisions of COA Circular No. 97-002 dated February 10, 1997, adversely affecting the fair presentation of various accounts in the financial statements as of year-end.**

   We recommended that the Management:

   a) issue demand letters to the concerned Accountable Officers, directing them to immediately liquidate all outstanding cash advances with complete and appropriate supporting documents and to instruct the Municipal Accounting Office to prepare and record the necessary journal entries to recognize the related expenses in the books to facilitate fair presentation of balances in the financial statements; and

   b) strictly enforce the monitoring of the granting, utilization, and liquidation of cash advances to ensure full compliance with applicable laws, rules, and regulations governing their use and to avert any risk of misappropriation or misuse of government funds.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	13,607,345.54	-	-	13,607,345.54	0.00%
Current Years	-	-	-	-	
Total	13,607,345.54	-	-	13,607,345.54	0.00%
Charges					
Prior Years	-	-	-	-	
Current Years	-	-	-	-	
Total	-	-	-	-	

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Implemented		10
Not Implemented	6	
Not Implemented and Reiterated in CY 2024 AAR	2	8
Total		**18**